

# Appian Operating Durability Diligence Framework

A compact test of recurring-revenue quality, margin durability, and execution risk using Appian's FY2025 Form 10-K and Q1 2026 results. Educational research sample; no price target or recommendation.

| DATA CUTOFF | QUESTION                                                                                                                     | BOUNDARY                                                  |
|-------------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------|
| May 7, 2026 | Are process deployments durable enough to support continued subscription growth without hiding margin or concentration risk? | No live valuation, target price, or trade recommendation. |

## What the public record says

| Metric                                  | Reported result                        | Diligence meaning                                                                             |
|-----------------------------------------|----------------------------------------|-----------------------------------------------------------------------------------------------|
| <b>FY2025 total revenue</b>             | \$726.9M, up from \$617.0M in 2024     | Growth accelerated, but the mix matters more than the headline.                               |
| <b>FY2025 subscriptions</b>             | \$576.5M; cloud subscriptions \$437.4M | Subscriptions were about 79% of revenue; cloud remained the main growth engine.               |
| <b>FY2025 subscription gross margin</b> | 85.4%, down from 86.6%                 | High margin supports quality, while the decline keeps hosting economics in scope.             |
| <b>Q1 2026 cloud subscriptions</b>      | \$124.5M, +25% year over year          | A strong quarter; durability still requires renewal and cohort evidence beyond one period.    |
| <b>Q1 2026 cloud net ARR expansion</b>  | 115%                                   | Existing cloud customers expanded in aggregate; this is not disclosed gross retention.        |
| <b>Q1 2026 operating cash flow</b>      | \$48.8M                                | Cash generation improved the growth story; seasonality and working capital still need review. |

### Working thesis

Appian's subscription mix, cloud growth, and 115% cloud net ARR expansion support a durability hypothesis. The evidence does not establish customer-level retention, pricing power, or a valuation conclusion. Confidence remains conditional on subscription growth staying efficient while hosting costs, services mix, and public-sector concentration remain controlled.

## Evidence, interpretation, and counter-signals

| Observed evidence                                                        | Supports                                               | Counter-signal to monitor                                                                         |
|--------------------------------------------------------------------------|--------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Subscriptions were about 79% of FY2025 revenue.                          | A recurring-revenue-led model.                         | Services grew 31% in Q1 2026; test whether services accelerates adoption or adds delivery burden. |
| Cloud subscriptions grew 25% in Q1 2026.                                 | Continued hosted recurring growth.                     | Full-year cloud guidance implied 18%-19% growth; do not annualize one quarter.                    |
| Subscription gross margin was 85.4% in FY2025.                           | Strong subscription economics.                         | Margin fell 120 basis points; the 10-K cites \$13.0M more hosting cost.                           |
| Federal agencies were 25.3% of FY2025 revenue.                           | Mission-critical public workflows can be durable.      | Budget cycles, procurement timing, and policy shifts create concentration risk.                   |
| No single end customer exceeded 10% of 2025 revenue.                     | Limited single-customer concentration.                 | Segment concentration can still matter without one customer crossing 10%.                         |
| FY2026 guidance: \$819M-\$831M revenue and \$97M-\$105M adjusted EBITDA. | Management expected growth and adjusted profitability. | Guidance is not audited outcome; reconcile GAAP income and cash flow each quarter.                |

## What is still missing

Public releases do not provide a complete customer cohort table, gross retention, remaining-performance-obligation conversion by cohort, or product-level contribution margins. Those gaps are diligence requirements, not evidence for or against the thesis.

# Diligence plan and falsifiers

| Question                                    | Evidence to collect                                                                                                      | Thesis weakens if                                                                          |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| <b>Are deployments mission critical?</b>    | Renewal commentary, deployment depth, regulated-workflow examples, customer references, and replacement friction.        | Customers can pause or replace deployments without material disruption.                    |
| <b>Is expansion durable?</b>                | Cloud net ARR expansion trend, new versus existing contribution, seat/application growth, and pricing changes.           | Expansion falls below 100%, growth relies mainly on new logos, or discounting rises.       |
| <b>Does cloud scale improve economics?</b>  | Subscription margin, hosting cost per cloud dollar, support headcount, and partner delivery mix.                         | Hosting and support costs outgrow cloud revenue for multiple periods.                      |
| <b>Is services growth productive?</b>       | Services margin, implementation duration, partner share, backlog, and time-to-production.                                | Services becomes a persistent low-margin prerequisite rather than an adoption accelerator. |
| <b>Is public-sector exposure resilient?</b> | Federal bookings, renewals, contract duration, agency concentration, procurement timing, and appropriations sensitivity. | Budget or procurement changes produce sustained renewal or expansion pressure.             |

## Decision rule

The durability thesis earns more confidence only if cloud growth remains paired with stable subscription margins, expansion stays above 100%, and services/public-sector exposure can be explained without treating every recurring dollar as equally durable. Valuation requires a separate current-market-data step.

# Source ledger and claim boundary

1. Appian FY2025 Form 10-K, filed February 19, 2026. Revenue mix, gross margins, hosting costs, customer and federal concentration, and risk disclosures.

SEC filing: [appn-20251231.htm](#)

2. Appian Q1 2026 financial results, published May 7, 2026. Cloud subscriptions, total subscriptions, growth, cloud net ARR expansion, operating cash flow, and FY2026 guidance.

[Appian Q1 2026 financial results](#)

3. Appian FY2025 financial results, published February 19, 2026. GAAP operating result and management presentation.

[Appian FY2025 financial results](#)

## Calculated figures

Subscription share of FY2025 revenue (about 79%) is calculated from \$576.5M subscriptions revenue divided by \$726.9M total revenue. Other figures follow the cited filings and releases. Rounded figures may not sum exactly.

## Boundary

This artifact demonstrates a source-backed diligence method. It is educational research, not investment, legal, accounting, or tax advice; it is not a price target, appraisal, recommendation, or statement of expected return. Refresh filings and market data before relying on any thesis.